

saving money for the long term, I believe that it's vital to live in the moment. This car is simply my way of living in the moment.

Question 2: How would you characterize your retirement savings patterns?

- a. I consult my advisors and make sure that every tax-favored investment vehicle is maxed out (401(k), IRA, etc.), and I will often save additional funds in taxable accounts.
- b. I will usually take advantage of most tax-favored investment vehicles, though in some cases I'm sure that details may have escaped my attention. I may or may not save something in taxable investment accounts.
- c. I hardly ever save for retirement. I spend most of my disposable income, so very little remains available for savings.

Question 3: How well would you rate your own self-discipline?

- a. I always achieve a goal if it is important to me. If I want to lose 10 pounds, for example, I will diet and exercise relentlessly until I am satisfied.
- b. I can often attain my goals, but sometimes I have trouble sticking to certain difficult things that I have resolved to accomplish.
- c. I have a tremendous amount of difficulty keeping promises to myself. I have little or no self-discipline, and I often find myself reaching out to others for help in attaining key goals.

Test Results Analysis

Questions 1, 2, and 3: People answering “b” or “c” to any of these questions may be susceptible to self-control bias. Please note that self-control is a very common bias!

ADVICE

When a practitioner encounters self-control bias, there are four primary topics on which advice can generally be given: (1) spending control, (2) lack of planning, (3) portfolio allocation, and (4) the benefits of discipline.

Spending control. Self-control bias can cause investors to spend more today rather than saving for tomorrow. People have a strong desire to consume freely in the present. This behavior can be counterproductive to attaining long-term financial goals because retirement often arrives before investors have managed to save enough money.